

games of skill and chance, respectively. The classification of a game in terms of skill or luck or chance was too subjective and resulted in litigation,” notes Saurabh Agarwal, Tax Partner at consultancy EY.

What has shaken the industry is the decision to levy 28 per cent GST on deposits made in wallets or on the full face value of bets placed at the entry level for online gaming or in casinos (excluding winnings used to place further bets) from October 1. This would apply to any online game involving money irrespective of whether it is a game of skill or chance and has been notified by the Central Board of Indirect Taxes and Customs.

“I have been in this industry for 17 years. After Covid-19, it felt like the golden era of the industry would start. But the way this GST has been implemented, it has changed everything, including our outlook for the future,” says an industry insider who declined to be named.

34 | The impact is already visible. MPL said it is laying off nearly half its workforce. In an internal email, Co-founders Srinivas and Malhotra wrote that the new rules will increase the tax burden and thus it had to take “some very tough decisions”, adding that the burden will increase by “as much as 350-400 per cent”.

Most start-up entrepreneurs BT spoke to say the tax will make life difficult for the industry. “Overall, operations will not be feasible. The high tax burden will completely restrict cash flows, limiting a company’s ability to invest in research, innovation, expansion or survival,” says Mitesh Gangar, Co-founder and Director of fantasy gaming firm PlayerzPot.

MORE PAIN IN STORE

Tax officials, however, maintain that their stance is clear: wherever money is involved in an online game, it is an actionable claim and 28 per cent GST has to be levied. This resonated in the decision taken by the GST Council, although in its later meeting it said GST would be levied only on the contest entry amount, excluding winnings. Any online game involving money—whether it is rummy,

GAME OF SKILL VS GAME OF CHANCE

► Earlier, online games of skill attracted 18 per cent GST and games of chance 28 per cent

► Now, both games of skill and chance attract 28 per cent GST on the full face value of bets

A GAME OF SKILL

- DETERMINED BY WHETHER IT INVOLVES REAL SKILLS OF THE PLAYER
- ONLINE GAMES LIKE CARROM, CHESS, ETC.
- ATTRACTS GST OF 18 PER CENT ON GROSS GAMING REVENUE IF NO MONEY IS INVOLVED

A GAME OF CHANCE

- A GAME THAT RELIES PRIMARILY ON LUCK OF THE PLAYER AND UNPREDICTABLE OUTCOMES
- SEEN TO BE LIKE BETTING AND GAMBLING
- ATTRACTS GST OF 28 PER CENT ON THE FULL VALUE OF BETS



poker or fantasy sports—will be covered by the 28 per cent GST.

A roll-back of the tax is unlikely, the tax authorities have stressed, adding that online gaming involving money is a “social problem” akin to gambling and causes addiction. “There have been instances where people have not only accrued huge debts but have also died by suicide due to this. The GST Council took the decision based on a holistic view,” says a senior official. There is also a darker side to this. There have been instances where gaming firms have engaged agents in small towns where players may not have the means to make online payments. Tax officials say agents collect money on behalf of these firms and send the players a link to the game.

The Directorate General of GST Intel-